

from mice, which was the usual procedure. Two cows could make all the insulin for the entire country, and one gram of cow lymph could support a million diagnostic tests.

Bioresponse was being closely followed by several brokerage firms, and Dean Witter, Montgomery Securities, Furman Selz, and J.C. Bradford had recommended it. I bought the stock in a secondary offering at \$9¼ in February, 1983. It reached a high of \$16, but now it's a goner. Fortunately I sold at only a small loss.

Whisper stocks have a hypnotic effect, and usually the stories have emotional appeal. This is where the sizzle is so delectable that you forget to notice there's no steak. If you or I regularly invested in these stocks, we both would need part-time jobs to offset the losses. They may go up before they come down, but as a long-term proposition I've lost money on every single one I've ever bought. Some examples:

—Worlds of Wonder; Pizza Time Theater (Chuck E. Cheese bought the farm); One Potato, Two (symbol SPUD); National Health Care (\$14 to 50 cents); Sun World Airways (\$8 to 50 cents); Alhambra Mines (too bad they never found a decent mine); MGF oil (a penny stock today); American Surgery Centers (do they need patients!); Asbetec Industries (now selling for ⅛); American Solar King (find it on the pink sheets of forgotten stocks); Televideo (fell off the bus); Priam (I should have stayed away from disk drives); Vector Graphics Microcomputers (I should have stayed away from microcomputers); GD Ritzys (fast food, but no McDonald's); Integrated Circuits; Comdial Corp; and Bowmar.

What all these longshots had in common besides the fact that you lost money on them was that the great story had no substance. That's the essence of a whisper stock.

The stockpicker is relieved of the burden of checking earnings and so forth because usually there are no earnings. Understanding the p/e ratio is no problem because there is no p/e ratio. But there's no shortage of microscopes, Ph.D.'s, high hopes, and cash from the stock sale.

What I try to remind myself (and obviously I'm not always successful) is that if the prospects are so phenomenal, then this will be a fine investment next year and the year after that. Why not put off buying the stock until later, when the company has established a record? Wait for the earnings. You can get tenbaggers in companies that have already proven themselves. When in doubt, tune in later.

Often with the exciting longshots the pressure builds to buy at the initial public offering (IPO) or else you're too late. This is rarely true, although there are some cases where the early buying surge brings fantastic profits in a single day. On October 4, 1980, Genentech came public at \$35 and on the same